

Managing Patent Cases to Keep Them from Overtaking Your Docket

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Patent litigation is big business. It is one of the last areas of unfettered billing and runaway disputes, whether those are discovery fights or pre-trial disputes. This leads to expensive litigation with runaway dockets for the Courts to control and for the lawyers to manage.

This panel will examine how patent litigation can be controlled from the perspective of the Court, in-house counsel, and outside counsel. The conversation will focus on the key tools that Courts, clients, and attorneys can use to manage patent cases to keep them in check. Panelists will discuss things such as what practitioners and judges could do differently, how to reduce the length that patent cases remain on a docket, how to manage costs, and how Judges can regain control of runaway patent cases (that routinely spend more money on discovery fights than the total cost of other cases from filing to trial).

I. The Current Trends in Patent Litigation

- a. Overall litigation is trending downward
 - There has been a gradual decline in patent case filings over the past three years. Last year, there were about 3100 cases filed compared to about 3800 in 2020. That is still over 250 cases filed each month. (*Lex Machina 2024 Patent Litigation Report*)
 - The eastern district of Texas was the most active court in 2023 with over 600 cases. It overtook the western district of Texas which continues to be among the most active districts in 2023 with over 500 cases – even after 50% reduction post 2022 random case assignment procedures. The majority of patent cases remain concentrated in three district courts: the Western District of Texas, the Eastern District of Texas and the District of Delaware. (*Lex Machina 2024 Patent Litigation Report*; <https://news.bloomberglaw.com/ip-law/top-patent-venues-are-two-steps-ahead-of-judge-shopping-guidance>)
- b. Majority of lawsuits are by non-practicing entities (NPEs)
 - NPEs continue to be responsible for majority of the patent cases – close to 60%. (*United Patents, Patent Dispute Report: 2023*)
- c. Technology sector attracts the most lawsuits followed closely by pharmaceuticals and manufacturing sectors
 - Together they account for about 40% of the cases. (<https://www.aon.com/en/insights/articles/how-current-ip-patent-litigation-trends-are-changing-risk-exposures>)
- d. Damages awards have been trending up
 - The dollar amount of awards has been increasing into 9 figures with multiple \$100M awards in 2023
 - Patent cases are big business. From 2021-2023, total of \$6 billion awarded across 129 patent cases
- e. Median cost of litigating a patent case through trial ranges from \$600k when amount at stake less than \$1M to \$3.6M when the amount is over \$25M

- Cost through discovery and claim construction ranges from \$300k per patent (less than \$1M at stake) to \$600k per patent (\$1M-\$10M) to \$1.5M (\$10-\$25M) (*AIPLA Report of Economic Survey 2023*)
- f. Vast majority of patent cases settle – over 75% settled in 2023 (*Lex Machina Patent Findings 2023*)

II. Strategies for Efficient Management of Cases

- a. Effective use of resources
 - Leveraging external experts & consultants early
 - Utilizing technology for case management
 - Consider early dispositive motions or creative discovery schedules
- b. Streamlining discovery process
 - Detailed substantive assessment of potential risks and vulnerabilities
 - focused v. fishing
 - initial document disclosures on conception of invention, operation of accused product and damages
 - Work to avoid discovery disputes – they are cost intensive and frustrate the Court
 - Streamline extent of discovery
 - patent claims, prior art, invalidity grounds, discovery requests, 30b6 topics
 - many guidelines available – Sedona conference, Fed. Cir. Advisory Council
 - use of summary judgment
 - Negotiate disputes extensively, whether discovery or pre-trial disputes – compromise is okay!
 - Focus claim construction on the disputes that really matter and that have a legitimate chance of success
- c. Cost management
 - Implementing cost-saving measures
 - Creative case schedules to focus on damages or key issues driving liability

- efficient legal research and document management
- simple ESI protocols & e-discovery liaison
- Explore reducing exposure by design-around
 - Concern is always how the design-around will be used at trial with the jury
- Know your bottom line early – for litigation spend as well as settlement
- Consider an inter partes review (IPR) – fraction of litigation cost ranging between \$350k-\$600k through trial (*AIPLA Survey 2023*)

III. Insight from Real World Examples

- a. One company's strategic litigation approach – offensive v. defensive
- b. One case's discovery management approach

IV. Best Practices to Keep in Mind

- a. Importance of understanding client's business
 - Align litigation plan with business goals and also better assess potential risks & outcomes
- b. Pro-active preparation & planning to set priorities and position the case effectively
- c. Efficient resource utilization
- d. Cost management & settlement efforts